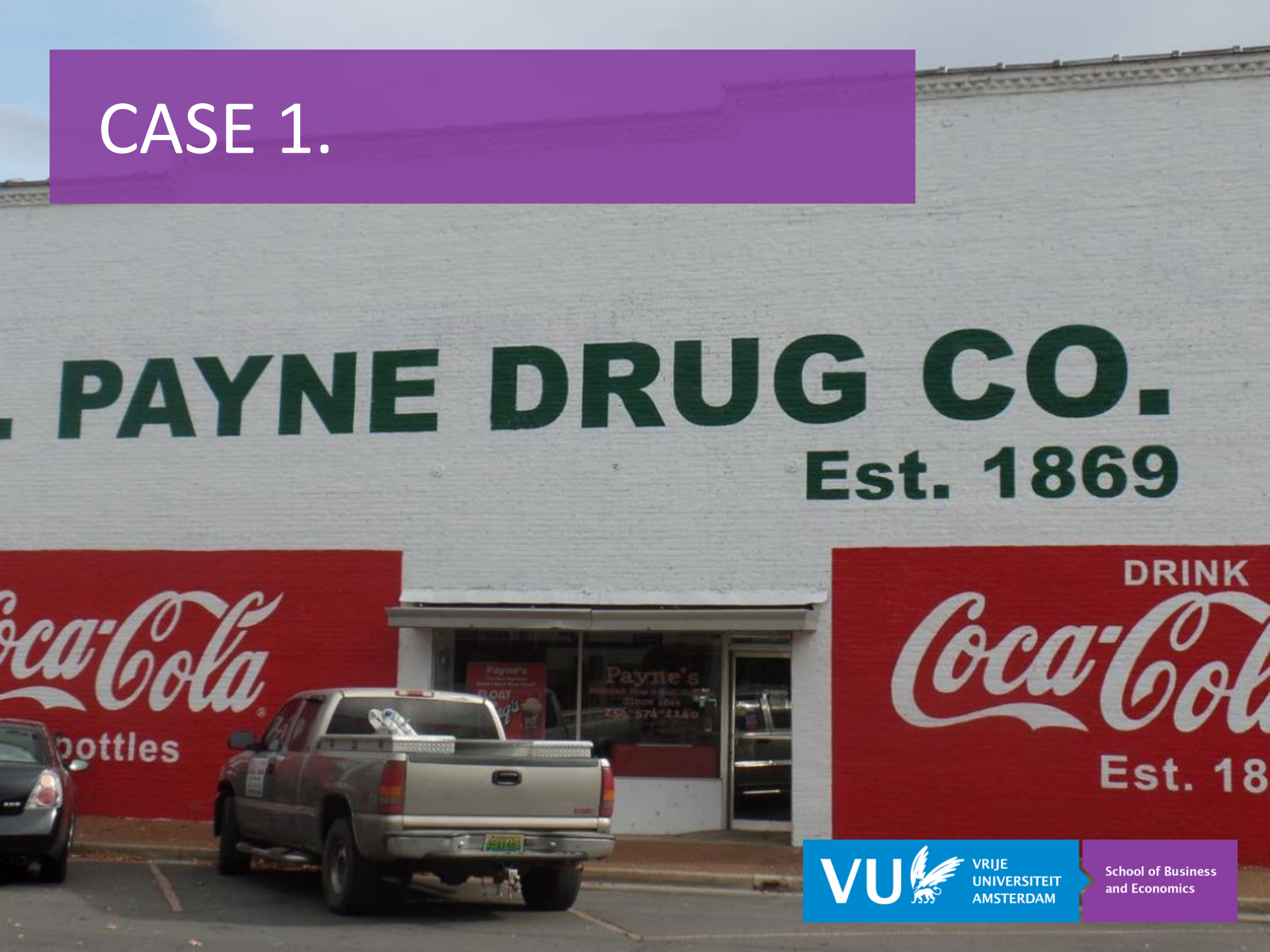
CASE 1.



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THE SETTING

Client Payne is a purchasing cooperative of independent drugstores (members of the cooperation). The increasing market power of the bigger drugstore chains has changed the market over the last couple of years dramatically. These chains focus primarily on volume and offer a shallow assortment fast moving products against attractive prices. As a result the independent drugstores are forced to differentiate on a more highly targeted assortment.

Price competition in the drugstore market is fierce. To face this competition with the bigger drugstore chains the independent drugstores have pooled their buying power and set-up an own wholesale drugstore. That is your bank's client Payne.
Payne buys its stock directly from the pharmaceuticals. As a result of the economies of scale, Payne can negotiate more favourable pricing on goods. Furthermore, Payne also supports its members in the area of inventory, logistic and an assortment.

Financially is a membership with Payne attractive. Next to a better pricing, the members share in the profit sharing via dividend payments. The membership has significantly increased over the last couple of years. This has resulted in additional capital for Payne.

On the next slides, you will find the financial figures of client D, followed by the related questions.

THE BALANCE SHEET

Balance Sheet	**2021**	**2022**	**2023**	**2024**	**P2025**	**P2026**	**P2027**
Fixed Assets	1.800	1.815	1.830	1.800	1.785	1.770	1.755
Inventory	8.300	8.400	8.574	10.413	12.198	13.059	13.322
Trade debtors	7.400	7.500	7.833	9.333	10.850	11.550	12.128
Other	100	125	150	200	200	200	200
Cash	45	50	65	101	101	101	101
Total Assets	**17.645**	**17.890**	**18.452**	**21.847**	**25.134**	**26.680**	**27.506**
Equity	6.130	6.130	6.630	8.130	8.130	8.130	8.130
Provisions	55	60	75	80	80	80	80
Long Term Loans	1.600	1.500	1.400	1.300	1.200	1.100	1.000
Current Account	4.980	5.100	5.100	5.500	7.311	8.208	8.656
Creditors	4.000	4.200	4.397	5.950	7.438	8.162	8.540
Other Debt	880	900	850	887	975	1.000	1.100
Total Liabilities	**17.645**	**17.890**	**18.452**	**21.847**	**25.134**	**26.680**	**27.506**

PROFIT & LOSS

Profit & Loss	2021	2022	2023	2024	P2025	P2026	P2027
Sales		90.000	94.000	105.000	126.000	138.600	145.530
Cost of Goods Sold		75.600	79.148	89.250	107.100	117.533	122.973
Gross Profit		**14.400**	**14.852**	**15.750**	**18.900**	**21.067**	**22.557**
Salaries		4.950	5.170	5.670	6.678	7.207	7.568
Other costs		4.050	4.230	4.515	5.418	5.821	6.112
EBITDA		**5.400**	**5.452**	**5.565**	**6.804**	**8.039**	**8.877**
write-off		150	150	150	150	150	150
EBIT		**5.250**	**5.302**	**5.415**	**6.654**	**7.889**	**8.727**
Interest		140	150	215	235	280	300
EBT		**5.110**	**5.152**	**5.200**	**6.419**	**7.609**	**8.427**
Taxes		1.278	1.288	1.300	1.605	1.902	2.107
Net profit		**3.832**	**3.864**	**3.900**	**4.814**	**5.707**	**6.320**

CASH FLOW STATEMENT

Cash Flow Statement	2022	2023	2024	P2025	P2026	P2027
EBITDA	**5.400**	**5.452**	**5.565**	**6.804**	**8.039**	**8.877**
-/- taxes + other financial flows + corrections	1.272	1.273	1.295	1.605	1.903	2.106
-/- changes working capital	5	386	1.798	1.726	812	363
-/- investments in Fixed Assets	165	165	120	135	135	135
Operational Cash Flow	**3.958**	**3.628**	**2.352**	**3.338**	**5.189**	**6.273**
-/- Interest	140	150	215	235	280	300
-/- Repayment Long Term Loans	100	100	100	100	100	100
-/- Dividend	3.833	3.864	3.900	4.814	5.707	6.320
Changes Current Account	120	-	400	1.811	897	448
Increase Equity	-	500	1.500	-	-	-
Changes Cash	**5**	**14**	**37**	**-**	**-**	**-**

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KEY RATIOS

Key Ratios	2022	2023	2024	P2025	P2026	P2027
Sales growth %	3,0%	4,4%	11,7%	20,0%	10,0%	5,0%
Gross Profit margin	16,0%	15,8%	15,0%	15,0%	15,2%	15,5%
Salary costs	5,5%	5,5%	5,4%	5,3%	5,2%	5,2%
Other costs	4,5%	4,5%	4,3%	4,3%	4,2%	4,2%
EBITDA	6,0%	5,8%	5,3%	5,4%	5,8%	6,1%
Net profit %	4,3%	4,1%	3,7%	3,8%	4,1%	4,3%
Debtor days ratio	30	30	32	31	30	30
Inventory turnover ratio	40	39	42	41	40	39
Creditor days ratio	20	20	24	25	25	25
Solvency ratio	34,3%	35,9%	37,2%	32,3%	30,5%	29,6%
Pay-out ratio [dividend / net profit]	100%	100%	100%	100%	100%	100%
Net Debt / EBITDA	1,2	1,2	1,2	1,2	1,2	1,2
Debt Service Ratio	1,0	0,9	0,6	0,6	0,9	0,9

ASSIGNMENT

Questions

1. What are the key performance drivers of Payne?
2. What is your opinion on the presented management case?
3. The existing current account limit is Euro 7 mln. Based on the presented management case Payne request an increase of Euro 3 mln. to Euro 10 mln. How would you structure the credit and which (financial covenants) would you propose, if any?